minimum nationwide standards for the notification of securityholders who are affected by a transfer agent data breach that leads to the unauthorized access or use of their information so that affected securityholders could take additional mitigating actions to protect their customer information, ownership interest in securities, and trading activity. Finally, as discussed above, extending the disposal rule to cover those transfer agents registered with another appropriate regulatory agency helps ensure all registered transfer agents are subject to the same minimum nationwide standard, tailored to the Commission's mission and requirements, and will protect investors and safeguard their securities and funds by reducing the risk of fraud or related crimes, including identity theft, which can lead to the loss of securities and funds.

Definition of a Transfer Agent's Customer

As stated above, the final amendments include a definition of customer that is specific to transfer agents, which is being adopted as proposed, except for a clarification noted below. For a transfer agent, customer means any natural person who is a securityholder of an issuer for which the transfer agent acts or has acted as a transfer agent.[347] The Commission is clarifying that this definition applies for purposes of section 248, meaning that it does not apply to any other rules, including those specific to transfer agents codified at 17 CFR 240.17Ad. Unless specified, securityholders of issuers are not customers of transfer agents for purposes of other rules. The Commission is adopting this definition because, as discussed above, although transfer agents' customers generally are issuers of securities, transfer agents collect and maintain non-public personal information about the individual registered owners who hold those issuers' securities in connection with various services and activities they engage in on behalf of issuers.

[347] *See* final rule 248.30(d)(4)(ii).

Some commenters supported this definition and approach of treating securityholders of an issuer as a transfer agent's customer, while other commenters did not. One commenter stated that this approach would close a "regulatory gap" – despite possessing and maintaining sensitive information about securityholders, no transfer agents are currently subject to the safeguards rule, and only transfer agents registered with the Commission are subject to the disposal rule.[348] Similarly, one commenter supported protecting customer information by subjecting that information to Regulation S-P, regardless of how it comes into the covered institution's possession.[349] On the other hand, one commenter opposed this proposed definition, stating that the need for a specific defined term for transfer agents indicated that the amendments were not well suited for transfer agents.[350] Three commenters stated that securityholders of issuers are not customers of the transfer agent, rather the issuer is the customer of the transfer agent.[351]

The Commission agrees that customer information held by a covered institution must be protected, regardless of how that customer information comes into the covered institution's possession. As discussed in the proposal and above, transfer agents obtain, share, and maintain personal information on behalf of securityholders who hold securities in registered form (i.e., in their own name rather than indirectly through a broker).[352] They also collect detailed personal information in connection with various services provided directly to individual securityholders, such as facilitating legal and other transfers of securities, replacing lost or stolen securities certificates, facilitating corporate communications with investors, providing cost-basis

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348 *See* Better Markets Comment Letter.

349 *See* ICI Comment Letter 1.

350 *See* STA Comment Letter 2.

351 *See* STA Comment Letter 2, Computershare Comment Letter, and SIFMA Comment Letter 2.

352 *See* Proposing Release at section I; section II.C.3; *see also supra* the text accompanying footnote 285.

calculations for tax purposes, and other services.[353] The fact that a transfer agent may not have a direct contractual relationship with an individual securityholder does not eliminate the need for transfer agents to protect the sensitive personal information about individual securityholders that is collected and maintained by the transfer agent.

Contrary to some commenters' statements, adopting a transfer agent-specific definition of customer does not indicate that the safeguards rule and disposal rule are not well-suited for transfer agents. Rather, it helps ensure that the rule is appropriately tailored to address transfer agents and the specific type of customer information they collect and maintain. Tailoring specific rule provisions to specific types of entities to address their unique functions, structures, and businesses does not render the rule inappropriate to the entity for which the provisions are being tailored, nor is it an approach that is unique to transfer agents or to Regulation S-P. For example, since the adoption of Exchange Act Rule 17Ad-12, transfer agents have been required to safeguard any funds and securities, including securityholder funds and securities, in the transfer agent's possession or control.[354] This is the case although securityholders may not be direct customers of transfer agents. As another example, final rule 248.30(d)(5)(i) defines customer information, for any covered institution other than a transfer agent as any record containing nonpublic personal information as defined in final rule 248.3(t) about a customer of a financial institution, whether in paper, electronic or other form, in the possession of a covered institution or that is handled or maintained by the covered institution or on its behalf, regardless of whether such information pertains to (a) individuals with whom the covered institution has a customer

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[353] *See* Proposing Release at section II.C.3 (discussing generally the services provided by transfer agents); Advanced Notice of Proposed Rulemaking, Concept Release, Transfer Agent Regulations, Exchange Act Release No. 76743 (Dec. 22, 2015), 80 FR 81948 (Dec. 31, 2015) (describing the recordkeeping, shareholder communications, securities issuance, and tax reporting services provided by transfer agents).

[354] *See* 17 CFR 240.17Ad-12.

relationship, or (b) the customers of other financial institutions where such information has been provided to the covered institution.[355] The fact that the securityholder whose funds and securities the transfer agent is in possession of is not a direct customer of the transfer agent does not eliminate the need for the transfer agent to safeguard those funds and securities. The same is true for customer information in the possession of a transfer agent or that is handled or maintained by the transfer agent or on its behalf.

Finally, two commenters stated that the Commission should propose a rule specific to transfer agents as part of the existing rules that apply specifically to transfer agents.[356] In these commenters' views, such a rule would impose obligations similar to the final amendments but would apply only to transfer agents. One of these commenters further explained that it would support general safeguarding of securityholder information requirements, similar to those set forth in the safeguard rule, if the Commission enacted them as part of the regulations specific to transfer agents codified at 17 CFR 240.17Ad.[357]

The Commission is not taking the approach suggested by the commenters. The final amendments will accomplish a similar result to a transfer agent-specific rule, while helping to ensure consistent requirements among covered institutions. Further, the commenters did not explain how such a rule would differ from the final amendments, other than being in a different set of Commission regulations, or how such a rule would be a material improvement over the approach being adopted as proposed. The Commission does not agree that adopting something different from the final amendments is necessary to achieve the "Commission's privacy and

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355 *See* final rule 248.30(d)(5)(i).

356 *See* STA Comment Letter 2 and Computershare Comment Letter.

357 *See* Computershare Comment Letter.

cybersecurity goals in a manner specific to the business and role of transfer agents."[358] Rather, doing so would undermine the Commission's goal of establishing a consistent minimum nationwide standard. Further, where necessary, the Commission has already tailored the final amendments in a manner specific to transfer agents. As noted above, the final amendments include a definition of customer that it is specific to transfer agents. Finally, to the extent one of commenters' goals is ensuring that all transfer agent rules are codified in the same place, specifically 17 CFR 240.17Ad, commenters' suggestion would not further that goal. Transfer agents registered with the Commission are already subject to the disposal rule, which is not part of the existing rule set codified at 17 CFR 240.17Ad, and a new safeguards or disposal rule within that section would necessarily cite to Regulation S-P for defined terms and other references.

Application of Laws, Requirements, and Contractual Provisions

Some commenters raised concerns about potential conflicts with, or duplication, of state law requirements. One commenter stated that securityholders of issuers are not customers of the transfer agent and imposing obligations on them creates conflicting and duplicative requirements to those already in place through state laws to safeguard securityholders' personal information.[359] Another commenter stated that under state law, transfer agents do not notify securityholders of a breach but issuers do.[360] Specifically, this commenter stated that all fifty states have laws that require transfer agents to notify their issuer clients of unauthorized access to personal information of securityholders, and issuers may then be required to notify securityholders depending on whether the standards of the state law have been met. This

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358 STA Comment Letter 2.

359 *See* STA Comment Letter 2.

360 *See* Computershare Comment Letter.

commenter also stated that its existing policies, procedures, and contractual obligations are designed to track these state law requirements and that certain provisions in transfer agents' contracts with issuer clients could prohibit transfer agents from notifying securityholders of data breaches in the manner required by the amendments.[361] Both commenters stated that the Commission should consider preempting state laws to minimize the potential for multiple and competing obligations, and if not, prepare and produce a cost-benefit analysis to identify the specific ways in which the amendments would be an improvement over existing law.[362] This commenter further explained that the issuer client would notify securityholders depending on whether the standards of the state law have been met.[363]

While we acknowledge the commenters' concerns, the final amendments permit transfer agents and issuers to develop arrangements to address them. Nothing in the final amendments will prohibit or limit transfer agents' ability to enter into or modify their contracts with issuer clients in a manner that allows the transfer agent to comply with applicable legal requirements. Indeed, some transfer agents already send customer notices on behalf of their issuer clients. As one commenter stated in requesting that the Commission permit covered institutions to have their service providers send breach notices to affected individuals on their behalf, it is a common practice today for investment companies to have their transfer agents assume responsibility for sending affected customers breach notices.[364] The Commission acknowledges that, to the extent a transfer agent has contractual provisions with issuer clients that prevent securityholders from receiving notice of a breach directly from the transfer agent, the transfer agent may determine to

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361 *See* Computershare Comment Letter.

362 *See* STA Comment Letter 2 and Computershare Comment Letter. *See also infra* section IV.D.2.b.

363 *See id*.

364 *See* ICI Comment Letter 1.

amend those contractual provisions to comply with the final amendments. Further, as discussed above, in a modification from the proposal, the final amendments provide that a covered institution that is required to notify affected individuals may satisfy that obligation by ensuring that the notice is provided by another party (as opposed to providing the notice itself). Accordingly, if a transfer agent experiences an incident affecting securityholders of another covered institution, it would have the option of coordinating with the covered institution as to which institution will actually send the notice.[365]

As explained in the proposal, the Commission understands that state laws generally require persons or entities that own or license computerized data that includes private information to notify residents of the state when a data breach results in the compromise of their private information.[366] In addition, state laws generally require persons and entities that do not own or license such computerized data, but that maintain such computerized data for other entities, to notify the affected entity in the event of a data breach (so as to allow that entity to notify affected individuals). However, the specific requirements regarding the timing of the notice, content of the notice, types of data covered, and other aspects may vary.[367] Indeed, one commenter highlighted the variation and uncertainty among different state law requirements.[368] Thus, while transfer agents may already be complying with one or more state notification laws, variations in these state laws could result in residents of one state receiving notice while residents of another do not receive notice, or receive it later, or receive different information for the same data breach incident. The final amendments address this concern by imposing a Federal

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365 *See supra* section II.A.3.a.

366 *See* Proposing Release at section III.C.2.

367 *See supra* section I.

368 *See* Computershare Comment Letter.

minimum standard for customer notification, which will help ensure timely, consistent notice to affected securityholders regardless of their state of residence.

Impact of Notices from Transfer Agents

One commenter stated that the proposal would equalize standards governing transfer agents, and in doing so, promote investor protection.[369] On the other hand, several commenters stated that the proposed rule regarding transfer agents would confuse securityholders. One commenter suggested that requiring a transfer agent to identify and contact customers of another institution may cause those customers to be confused and concerned.[370] Two commenters similarly stated that the notification requirement is likely to confuse securityholders because it would result in securityholders receiving notice from both the transfer agent and the issuer with respect to the same breach.[371] One commenter further stated that a transfer agent should only be required to notify an issuer of an incident.[372]

We acknowledge that due to existing state law provisions, individuals affected by a breach at a transfer agent may receive notice from the issuer and the transfer agent with respect to the same breach. Moreover, transfer agents subject to the Banking Agencies' Incident Response Guidance may send notices under those provisions as well, and it is possible that an issuer may also send notices to securityholders, pursuant to state law or other requirements. We acknowledge that these existing provisions, coupled with the requirements of the final amendments, may result in multiple notices being sent for the same incident. That said, as

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369 *See* Better Markets Comment Letter.

370 *See* SIFMA Comment Letter 2.

371 *See* STA Comment Letter 2 and Computershare Comment Letter.

372 *See* SIFMA Comment Letter 2.

explained above, we have modified the final amendments to minimize the likelihood of multiple notices being sent by covered institutions for the same incident.[373]

Regardless, we do not agree that individuals who receive a notice from both a transfer agent and the issuer with respect to the same breach or who are contacted by a transfer agent on behalf of another institution will be confused. Any potential confusion could be ameliorated through a clear description of the specific incident that would allow an individual to determine whether it is covered by a notice from any covered institution.[374] Rather than create confusion, as some commenters assert, the final amendments will establish a Federal minimum standard for covered institutions, thereby reducing any extant or potential confusion. As discussed in the proposal, there are variations in existing state laws regarding a firm's duty to investigate a data breach, the specific events that trigger when notice of a breach is required, the timing of any such notices, and other details of a notice. The Federal minimum standard established by the final amendments will eliminate this confusion by ensuring that *all* affected securityholders receive an appropriate notice, regardless of the securityholder's state of residence, thereby enhancing investor protection overall. This benefit justifies the remote risk of potential confusion suggested by some commenters.

3. Maintaining the Current Regulatory Framework for Notice-Registered Broker-Dealers

The final amendments will, as proposed, contain a number of amendments to Regulation S-P that result in the continuation of the same regulatory treatment for notice-registered broker-

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373 *See supra* section II.A.3.a.

374 It is possible that customers may not be aware of their relationship with a transfer agent or otherwise may not recognize the transfer agent and therefore could read the notification as a phishing attempt or another nefarious scheme. *See infra* section IV.D.2.b.

dealers as they were subject to under the existing safeguards rule and disposal rule.[375] Specifically, notice-registered broker-dealers are explicitly excluded from the scope of the disposal rule,[376] but subject to the safeguards rule. However, under substituted compliance provisions, notice-registered broker-dealers are deemed to comply with the safeguards rule (and all other aspects of Regulation S-P, other than the disposal rule) if they are subject to, and comply with, the financial privacy rules of the CFTC,[377] including similar obligations to safeguard customer information.[378] The Commission initially adopted substituted compliance provisions with regard to the safeguards rule in acknowledgment that notice-registered broker-dealers are subject to primary oversight by the CFTC, and to mirror similar substituted compliance provisions afforded by the CFTC to broker-dealers registered with the Commission.[379] When the Commission later adopted the disposal rule, it excluded notice-registered broker-dealers from the rule's scope, stating its belief that Congress did not intend for the Commission's FACT Act rules to apply to entities subject to primary oversight by the CFTC.[380] For these reasons, the Commission tailored the proposal to ensure there would be no

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375 Notice-registered broker-dealers are futures commission merchants and introducing brokers registered with the CFTC that are permitted to register as broker-dealers by filing a notice with the Commission for the limited purpose of effecting transactions in security futures products. *See* Registration of Broker-Dealers Pursuant to section 15(b)(11) of the Securities Exchange Act of 1934, Exchange Act Release No. 44730 (Aug. 21, 2001) [66 FR 45138 (Aug. 27, 2001)] ("Notice-Registered Broker-Dealer Release").

376 *See* 17 CFR 248.30(b)(2)(i).

377 *See* 17 CFR 248.2(c) and 248.30(b). Under the substituted compliance provision in rule 248.2(c), notice-registered broker-dealers operating in compliance with the financial privacy rules of the CFTC are deemed to be in compliance with Regulation S-P, except with respect to Regulation S-P's disposal rule (currently rule 248.30(b)).

378 *See* 17 CFR 160.30.

379 *See* Notice-Registered Broker-Dealer Release; *see also* CFTC, Privacy of Customer Information [66 FR 21236 (Apr. 27, 2001)].

380 *See* Proposing Release at n.203.